Wheel Screener: User Guide

Welcome to WheelMetrics Pro.

This is your companion guide to the weekly Wheel Screener spreadsheet. Think of it as a reference you come back to, not a document you have to memorize.

If you've only got five minutes, jump to the **Quick Start Guide** below and you'll be up and running.

If you want to go deeper, including:

- Understanding what each column in the spreadsheet means
- Why certain threshold/filtering values are used
- How I personally read this sheet every Monday morning

...the rest of the doc walks through all of it.

My goal with the stock screener (and really, with everything at WheelMetrics) is pretty simple:

I want to hand you the same tools I use, explain them well enough that you can actually use them, and trust you to do your own work from there.

A Quick Word About Me

Hi, I'm Adrian Rosebrock.

I have a PhD in computer science and spent eight years running an AI company that I started while in grad school. The company did well, and it was acquired right before my 33rd birthday in what I'd describe as a life-changing exit. Post-exit, I went deep into the world of quantitative trading, and today I manage **AltFnd Capital**, a friends-and-family investment fund.

WheelMetrics exists because friends kept asking me for investment advice. I'd point them to a qualified financial advisor first, and then I'd teach The Wheel Strategy to the ones who wanted to take an active role in growing their own wealth. One of them suggested I build a site to help more people the same way I helped them. So here we are.

The screener in your hands is a version of the one I use at AltFnd every week, built on the same philosophy, the same quality bar, and the same core signals I rely on for my own trades.

Quick Start Guide

If you only have five minutes, read this section.

Here's how to use the Wheel Screener, start to finish:

1. **Open the spreadsheet.** The rows are already sorted for you (first by `Stock Grade`, then by `PEUpside%`). The best candidates sit at the top.
2. **Start with the ★★★ rows.** These are the highest-conviction names in the stock universe this week. If there are no ★★★ rows, move to ★★. You'll rarely need to dig past ★★.
3. **Look at `PEUpside%`.** This tells you how much mean-reversion room the stock has based on its historical (theoretical) P/E. Higher is better. Anything above 60% lights up green.
4. **Scan the row for green cells.** Every green cell is a column where the stock clears my *"This is a quality signal"* threshold. More highlighted green cells in a row means stronger fundamental profile. If a row is a sea of green, pay attention.
5. **Pick 2-3 names to dig into.** You don't need to trade every row. You need to trade the ones that fit your portfolio, your risk tolerance, and your timing.
6. **Cross-reference the options scan and write-up.** The screener identifies *what* to consider. The options scan shows you *where* to enter. The write-up tells you *why* I'd consider those specific setups.

That's it. Everything below is "for those who want to go deeper." You can be a productive user of this sheet with just the six steps above.

Our Thesis: Only Wheel Quality Companies

Here's the core philosophy behind everything I do and everything I teach:

> *"We only Wheel quality companies."* — Adrian Rosebrock

That's it. That's the thesis.

No meme stocks. No high-growth-without-a-thesis names. No chasing fat premiums on whatever's ripping this week. **The Wheel works long-term because you only Wheel stocks you'd be genuinely happy to own for 6-12+ months if you got assigned.** Full stop.

Why does this matter? If you sell cash-secured puts on a garbage company and the stock craters, you end up owning a garbage company at a price above where it's currently trading. Stocks like those can tank, sometimes gapping down 20-40%.

Trading for exclusively high premium is *not* a strategy.

Quality companies neutralize this. When you get assigned on a quality name, you're not trapped — you're holding a stock you'd own anyway. Which brings me to a nice side effect of this whole approach.

Every stock in this screener is also a viable long-term buy-and-hold candidate. The quality bar here is the same bar you'd want for a core portfolio position. So even if a particular name isn't right for your Wheel this week, it may still be worth a look for other parts of your strategy.

How the Screener Works (At a High Level)

The screener I provide you with is built on the same framework I run at AltFnd Capital every Monday morning. Same philosophy, same quality bar, same core signals.

When I built WheelMetrics, I had one hard constraint: **it had to work for retail traders.** No $24,000/year Bloomberg terminals. No institutional-only data feeds. No hedge-fund-exclusive tools. If a retail trader couldn't afford or access something, I didn't want to build on top of it.

Because what actually matters in this game isn't having exotic data (although that *can* help)...

...it's understanding your data, knowing which signals matter, and having the discipline to act on them consistently.

The edge lives in process, not tooling.

So, I coded my own screener from scratch. It encodes the specific criteria I look for when making my own Wheel trades including fundamentals, quality signals, valuation, trajectory, and more.

It runs every week against a universe of stocks that have already cleared a high-quality pre-screen (liquidity, institutional-grade quality ratings, price stability). Whatever survives gets scored, ranked, and filtered down to a short list of names.

That short list is what you see in the spreadsheet.

Reading the Green Highlights

Throughout the spreadsheet, you'll see cells highlighted **green**. A green cell means that specific value clears my quality threshold for that column. It's a shortcut for quick visual scanning.

More green in a row implies stronger fundamental profile. If a stock lights up green across most of its row, it's a strong candidate. If it's mostly white with a few scattered greens, it still made the filter (so it's still a quality name), but some of its metrics are weaker than others.

I don't require *every* cell to be green (and I wouldn't suggest you do so either). That would be overly strict (and I'll explain why in the `VS` / `GS` / `DS` section below). Instead, I'm looking at the *pattern* of green across a row.

Column-by-Column Walkthrough

Let's walkthrough each of the columns in the spreadsheet. Along the way, we'll cover:

- What it is
- What threshold I consider "good" (and *why* that particular threshold value)
- What it tells us about the quality of the company

Quality Scores

`Stock Grade` (★ / ★★ / ★★★)

This is my proprietary quality tier, and it's the column you should anchor on. Every stock in the screener has already passed a high quality bar — the stars rank candidates *within* that elite set.

- **★★★ — Elite.** Highest conviction. Pay close attention to these first.
- **★★ — Strong.** Still very high quality. A step down from Elite.
- **★ — Solid.** Cleared the bar, but at the lower end of the range.

`VS` / `GS` / `DS` (Value Score / Growth Score / Dividend Score)

Each of these is a 0-6 integer score. `VS` counts how many value criteria a stock passes. `GS` counts growth criteria. `DS` counts dividend criteria. Higher is better.

Most screeners treat thresholds as binary gates: a stock either passes *all* criteria or it's thrown out. That's overly selective. A stock that passes 5 out of 6 is not meaningfully worse than one that passes 6 out of 6. And binary filtering throws out *plenty* of genuinely quality companies over a single technicality.

So instead of gating, we count. A `VS` of 5 means the stock passes 5 of the 6 value tests. A `DS` of 4 means it passes 4 of the 6 dividend tests. Counting gives you a richer picture of *where* a stock is strong versus weak, without nuking real winners over minor misses.

The screener filter requires *at least one* of `VS`, `GS`, or `DS` to be 4 or higher. So every stock in the sheet is strong in at least one of these three dimensions.

What each score actually measures:

- **`VS`** counts these 6 value criteria: `RevenueGrowth5Y`, `EPSGrowth5Y`, `FCFToNetIncome`, `ROIC`, `NetDebtToEBITDA`, `DebtToEquity`.
- **`GS`** counts these 6 growth criteria: `RevenueGrowth5Y`, `EPSGrowth5Y`, `FCFToNetIncome`, `ProfitMargin`, `ROIC`, `NetDebtToEBITDA`.
- **`DS`** counts these 6 dividend criteria: `DivYield`, `PayoutRatio`, `Div5YRAvg`, `ProfitMargin`, `ROIC`, `NetDebtToEBITDA`.

You'll notice overlap between them. For instance `ROIC` and `NetDebtToEBITDA` show up in all three. That's intentional: those are core quality signals regardless of whether you're evaluating a stock for value, growth, or income. The thresholds used for each score are tuned to the dimension being measured (a growth score, for example, uses tighter thresholds than a value score on the same underlying metric).

Each of these columns is explained in more detail in the sections below.

***Note:** If a stock doesn't pay a dividend, `DS` will be blank (not zero). A blank `DS` isn't a negative signal, it just means dividend criteria don't apply.*

Upside Signal

`PEUpside%`

This is a mean-reversion estimate: how much upside the stock has if its P/E ratio returns to its historical (or theoretical) median. I calculate it by taking the stock's median P/E over the past several years, applying it to forward earnings estimates, and comparing that implied price to where the stock trades today.

Green threshold: **60% or higher.** Why 60? Because meaningful mean-reversion plays typically need double-digit-plus room to work, and 60% gives enough buffer that even a partial reversion leaves you with a solid trade. Below that, you're often fighting against ongoing multiple compression.

For a Wheel trader, `PEUpside%` matters because it tells you where the stock *should* be trading if it behaved according to its own history (theoretically). If the screener tells me a stock is 80% undervalued by its own P/E history, that's a name where I want to sell puts at levels where I'd be thrilled to be assigned.

Growth Metrics

`RevenueGrowth5Y`

The company's average revenue growth over the last five years. Green threshold: **5% or higher.** Below 5% and you're looking at a business that's essentially stagnant. It's not compounding, and it's not keeping up with inflation in real terms. Quality companies grow.

`EPSGrowth5Y`

Average earnings-per-share growth over five years. Green threshold: **7% or higher.** Earnings growth is where shareholder value actually gets created. Revenue growth without earnings growth just means you're running a bigger business at the same margins. Both matter. 7% is the floor for a business that's genuinely building earning power over time.

`RevenueGrowthNY`

Projected revenue growth for next year (analyst consensus). Green threshold: **7% or higher.** This forward-looking view catches companies that are accelerating, not just compounding at historical rates.

`PEGForward`

Price-to-Earnings-to-Growth ratio, forward-looking. It tells you how expensive the stock is *relative to* its growth rate. Green threshold: **1.5 or lower.** A PEG under 1.5 means you're paying a reasonable price for the growth you're getting. Above 2.0 and you're paying a premium that growth has to deliver on for the trade to make sense. Note that a PEG > 2.0 isn't a *bad* thing, it just means you're paying a premium for that growth.

Profitability and Cash Flow

`ROIC` (Return on Invested Capital)

For every dollar the business has invested (debt plus equity), how many cents it earns back per year. Green threshold: **15% or higher.** This is one of the most important numbers on the sheet. The historical average return of the S&P 500 is around 10%. **If a business can't generate *at least* 15% on its invested capital, it's not compounding faster than the broad market.**

`ProfitMargin`

Net income as a percentage of revenue. Green threshold: **10% or higher.** Profit margins tell you how much of every revenue dollar the business actually keeps. Sub-10% margins usually indicate brutal competition, commodity exposure, or an inefficient operation. All three are bad for Wheel candidates.

`FCFToNetIncome`

Free cash flow divided by net income. Green threshold: **80% or higher.** This is a quality-of-earnings check. A company can report strong net income while generating very little actual cash (thanks to accounting rules around depreciation, accruals, and timing). When `FCFToNetIncome` is above 80%, the company's reported earnings are backed by real cash flowing through the business. Below 80% and you start asking hard questions about earnings quality.

Balance Sheet Health

`NetDebtToEBITDA`

The ratio of net debt to earnings before interest, taxes, depreciation, and amortization. Green threshold: **3.0 or lower.** This answers a simple question: how many years of earnings would it take this company to pay off its debt? Above 3.0 and the balance sheet starts to look stretched. Above 5.0 and you're in stress territory. Quality companies keep this well under control.

`DebtToEquity`

Total debt relative to shareholder equity. Green threshold: **0.8 or lower.** Another balance sheet angle. Companies with D/E above 1.0 are more leveraged than they are equity-funded, which amplifies both upside and downside. For a Wheel trader, lower D/E means the company is less likely to be forced into bad decisions (dilution, asset sales, dividend cuts) if the macro environment turns.

Dividend Metrics

Note: *These columns will be blank or zero for non-dividend-paying stocks. That's not a negative signal, it just means the metrics don't apply.*

`DivYield`

Annual dividend as a percentage of stock price. Green threshold: **2% or higher.** A yield above 2% gives you real cash returns on top of whatever capital appreciation you get. **For Wheel traders holding assigned positions, this is income on top of premium, a meaningful enhancement to returns.**

`PayoutRatio`

What percentage of earnings the company pays out as dividends. Green threshold: **90% or lower.** If a company is paying out more than 90% of its earnings as dividends, the dividend is at risk the moment earnings wobble. Below 90% gives the business cushion to maintain the payout through tougher quarters.

`Div5YRAvg`

Five-year average dividend growth rate. Green threshold: **10% or higher.** This tells you whether the dividend is actually growing meaningfully year over year. A stagnant dividend loses purchasing power to inflation. 10%+ dividend growth means the payout is becoming more valuable over time, not less.

Price Position

`10YPctChange`

How the current stock price compares to the stock's 10-year median price. Green threshold: **below 0%** (meaning the current price is *below* the 10-year median).

When `10YPctChange` is negative, the stock is currently trading *below* where it's spent the middle half of the past decade. Combined with the other quality signals, it often flags companies that are genuinely high-quality but temporarily out of favor.

Putting It All Together

Let's walk through an example. Imagine this week's sheet shows **MU (Micron Technology)** at the top with ★★★, `PEUpside%` of 81%, `VS` of 5, `GS` of 5, and a strong green row across fundamentals.

(This is illustrative. The actual weekly sheet will vary.)

Here's how I'd read it:

- **★★★ tier.** Elite quality within an already-elite universe. Highest-priority name on the sheet.
- **`PEUpside%` of 81%.** Massive mean-reversion room. If MU traded back to its historical (or theoretical) P/E, we'd see *significant* appreciation from current levels.
- **`VS` 5, `GS` 5.** Strong across both value and growth dimensions. Not maxed out at 6/6, but missing at most one criterion in each (which is exactly why we *count* rather than *gate* with our thresholds.)
- **`ROIC` 29%.** Dramatically above the 15% threshold. This business is compounding nearly 3x faster than the S&P 500's historical return.
- **`ProfitMargin` 41%.** Wildly strong. A business keeping 41 cents of every revenue dollar has serious pricing power.
- **`NetDebtToEBITDA` near zero.** Clean balance sheet. If the macro gets ugly, this company has runway.
- **`RevenueGrowthNY` 52%.** Huge projected growth. Well above the 10% screener floor.

What I'd do next. Pull up the options scanner for MU. Look for cash-secured put strikes at prices where I'd be genuinely happy to own the stock if assigned. Then check the write-up to see if I've flagged MU as a current watch-list candidate (and if I have, why).

What I would *not* do is blindly enter a position based on a single screener output. The screener narrows the field. The options scan shows me setups. The write-up gives context. **My own judgment about portfolio fit, risk tolerance, and timing makes the final call.**

And that's the whole workflow.

Questions and Feedback

This guide will evolve as WheelMetrics Pro evolves. If something is unclear, if you want a column explained in more depth, or if you've got suggestions for what the weekly deliverable should include, I want to hear it.

Shoot me an email at adrian@wheelmetrics.io.

Talk soon,

Adrian Rosebrock

Founder, WheelMetrics.io

Disclaimer

WheelMetrics Pro is an educational and informational service. I am not a registered investment advisor, broker-dealer, or financial planner. Nothing in this document — or in the stock screener itself, or in the weekly write-ups, or in the options scans — constitutes personalized investment advice or a recommendation to buy or sell any specific security.

All content is provided strictly for educational and informational purposes. A few specifics:

- **No personalized advice.** Any tickers, setups, or trade ideas you see are illustrative. They are not tailored to your specific financial situation, risk tolerance, or goals.
- **Trading involves substantial risk.** Options trading in particular can result in the loss of some or all of your capital. Past performance is not indicative of future results.
- **You are solely responsible for your own decisions.** Consult a qualified, licensed financial advisor before acting on anything you see here.

By using this service, you acknowledge these risks and agree that all investment decisions are made at your own discretion.